SECTION 6 PROFESSIONAL TUTORIAL PDF

Market, Sector, Stock Hierarchy

A top-down framework for moving from broad market regime to sector leadership to individual stock candidates.

Student promise

Students will learn to stop judging a stock in isolation. They will first identify the market regime, then the leading or lagging sector, then the strongest or weakest stocks inside that sector.

Course use	Recommended student level	Deliverable inside
Morning bias and watchlist construction	Beginner to intermediate	Framework, checklist, exercises, quiz, instructor notes, external source pack

Top-down hierarchy: market -> sector -> stock

Rule: a strong stock inside a strong sector inside a strong market deserves deeper analysis.

Risk and ethics note: This material is for education, paper trading, and disciplined practice. It is not personalized investment, tax, legal, or financial advice. Students should not trade live capital until they can explain the setup, invalidation, position size, and loss scenario in writing.

1. Lesson Overview

Use this page to introduce the topic before opening a chart.

Conversation anchor

May 14 transcript: the hierarchy appears when the class compares WOLF to the S&P 500, then checks technology and semiconductor leadership. The explicit model is stated as overall market -> sector -> individual stocks around 59:38-1:02:13 and again around 1:11:41-1:14:38.

Core teaching idea

A trade candidate is stronger when the stock, its sector, and the broad market are aligned. Market first, sector second, stock third.

Learning outcomes

1. Explain why a single stock chart is incomplete without market and sector context.
2. Use the hierarchy: market regime -> sector leadership -> stock candidate.
3. Identify whether a sector is acting as a tailwind, headwind, or mixed condition.
4. Separate candidate selection from an actual trade trigger.

Instructor framing

The goal is not to add complexity. The goal is to eliminate weak ideas early. If the broad market and sector are fighting the stock idea, students should slow down, reduce risk, or skip.

Teaching emphasis

- A strong stock in a strong sector is easier to explain than a random stock moving alone.
- Sector ETFs can act as fast context tools for leadership and weakness.
- Top stocks and bottom stocks are candidate lists, not automatic trades.
- The broad market can hide sector divergence; students must look underneath the index.

2. Concept Map

The diagram gives students the mental model; the table defines the vocabulary.

Top-down hierarchy: market -> sector -> stock

Rule: a strong stock inside a strong sector inside a strong market deserves deeper analysis.

Vocabulary students must master

Concept	Professional meaning
Market regime	The broad risk tone shown by major benchmarks such as the S&P 500, Nasdaq 100, or Russell 2000.
Sector leadership	The sectors attracting stronger participation compared with other sectors.
Relative strength	A stock or sector outperforming a benchmark, not just moving up in absolute terms.
Candidate list	A short list of names worth chart analysis. It is not a buy or sell command.
Alignment	When market, sector, and stock direction point in the same direction with enough evidence.

Instructor note

Keep this lesson practical. Have students write three labels before any chart entry idea: market, sector, stock. If they cannot identify the sector, they are not ready to grade the setup.

3. Professional Workflow

Turn the topic into a repeatable student routine.

Use this process in every morning preparation block before choosing a chart to study deeply.

1. Check the broad index: bullish, bearish, or neutral.
2. Identify the leading and lagging sectors using sector ETFs or a heatmap.
3. Find the stock sector and compare the stock to that sector.
4. Rank stocks as leaders, laggards, or neutral inside the sector.
5. Only move leaders or laggards into a watchlist after confirming chart structure.
6. Write the final status: candidate, waitlist, or skip.

Common beginner mistake vs professional correction

Student behavior	Why it is weak	Professional correction
Only looking at one stock	No context for whether the move is supported by the group	Compare the stock to the broad index and sector ETF.
Assuming S&P up means all stocks are strong	Indexes can rise while some sectors lag	Look under the index at sector leadership.
Trading the top-stock list immediately	A ranking is not an entry plan	Use the list to prioritize charts, then define levels and risk.
Ignoring bottom stocks	Weak names can teach sector divergence	Track both leaders and laggards for context.

Quality control rule

Before any stock is labeled tradable, the student must answer: What is the broad market doing? What is the sector doing? Is the stock leading, lagging, or merely following?

4. Student Practice Lab

Students should produce written evidence, not just verbal confidence.

In-class exercise

1. Pick one stock from the current watchlist and identify its GICS sector and industry.
2. Compare the stock chart with the S&P 500 and the sector ETF on the same timeframe.
3. Write whether the sector is a tailwind, headwind, or mixed condition.
4. Build a three-name candidate list and explain why each name earned attention.

Mini-quiz

Question	Expected answer
What is the correct order of analysis?	Market regime first, sector leadership second, individual stock third.
What is a candidate list?	A prioritization list for deeper chart work, not a trade signal.
Why can the S&P 500 be misleading by itself?	Different sectors can move in different directions under the broad index.
What does alignment mean?	Market, sector, and stock evidence support the same directional idea.

Homework assignment

For three trading days, students must create a morning hierarchy sheet: broad market bias, top two sectors, bottom two sectors, three candidate stocks, and one reason to skip each candidate if risk is unclear.

5. External Source Pack

Give students authoritative references that complement the lesson.

Source	Type	How students should use it
MSCI - GICS framework	Official classification	Use to understand sector, industry group, industry, and sub-industry structure.
S&P Dow Jones Indices - S&P sectors	Index provider	Use to connect GICS sectors with U.S. market segment indices.
S&P DJI - GICS overview	Index methodology	Use for deeper discussion of why standardized sector definitions matter.
State Street - Select Sector SPDR ETFs	ETF issuer education	Use to show sector ETFs as practical proxies for the 11 S&P 500 sectors.
XLK Technology Select Sector SPDR ETF	ETF example	Use as an example of technology-sector exposure.

Suggested reading order

1. Start with MSCI GICS so students know what a sector actually means.
2. Move to S&P sector indices to connect classification to market benchmarks.
3. Use Select Sector SPDR pages to connect the framework to ETF tickers students can observe.
4. Finish by comparing one stock to its sector ETF and broad benchmark.

Risk note for students

Sector alignment improves context, not certainty. Strong sectors can reverse, and weak sectors can squeeze. Students still need a defined setup, invalidation point, and position-size rule.

6. Instructor Delivery Notes

Use this page to teach the section live or convert it into slides.

Teaching sequence

1. Open with one stock that is moving and ask students if it is actually leading its sector.
2. Show the broad index and write a one-word market bias.
3. Show the relevant sector ETF and write whether it is leading or lagging.
4. Return to the stock and decide whether it is a candidate, waitlist, or skip.
5. Repeat with a stock that looks good alone but is weak relative to its sector.

Assessment rubric

Grade	Student behavior
A	Student explains market, sector, stock, relative strength, and candidate status without prompting.
B	Student identifies market and sector but needs help explaining relative strength.
C	Student can name the sector but still focuses mostly on the individual chart.
D/F	Student jumps to trade direction before checking market or sector context.

Closing reminder

The hierarchy is a filter. The output is not "buy" or "sell." The output is candidate, waitlist, or skip.